

25STCV18027 25STCV18027

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JOSE GALAVIZ, Plaintiff, vs. FCA US LLC; LOS ANGELES CHRYSLER DODGE JEEP RAM; and DOES 1 through 10, inclusive, Defendants.

CASE NO: 25STCV18027 [TENTATIVE] ORDER RE: DEFENDANT'S DEMURRER; AND DEFENDANT'S MOTION TO STRIKE Dept. 731 8:30 a.m. July 21, 2026

Moving Party: Defendants, FCA US LLC and Los Angeles Chrysler Dodge Jeep Ram

Opposing Party: Plaintiff, Jose Galaviz

Notice: OK

1. Background Facts

Plaintiff Jose Galaviz filed this action against Defendants FCA US LLC ("FCA") and Los Angeles Chrysler Dodge Jeep Ram ("LA Jeep") (collectively, "Defendants") for damages arising out of fraudulent concealment and negligent repair. Before the Court is Defendants' opposed demurrer against the operative First Amended Complaint's ("FAC") fraudulent concealment and negligent repair claims, and Defendants' opposed motion to strike the FAC's prayer for punitive damages.

2. Demurrer

a. Legal Standard on Demurrer

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747; see Code Civ. Proc., § 430.10, subd. (e).)

To sufficiently allege a cause of action, a complaint must allege all the ultimate facts—that is, the facts needed to establish each element of the cause of action pleaded. (Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 212, superseded by statute as stated in Branick v. Downey Savings & Loan Assn. (2006) 39 Cal.4th 235, 242.) "[E]ach evidentiary fact that might eventually form part of the plaintiff's proof need not be alleged." (C.A. v. William S. Hart Union High School Dist. (2012) 53 Cal.4th 861, 872.)

In testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (*Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 966-67.) Courts read the allegations liberally and in context. (*Taylor v. City of Los Angeles Dept. of Water and Power* (2006) 144 Cal.App.4th 1216, 1228, disapproved on other grounds, *Jones v. Lodge at Torrey Pines Partnership* (2008) 42 Cal.4th 1158, 1162.) A demurrer, however, “does not admit contentions, deductions or conclusions of fact or law.” (*Daar v. Yellow Cab Co.* (1967) 67 Cal.2d 695, 713.)

A demurrer may only be used to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

b. Meet and Confer

Here, Defendants make a sufficient showing of meet and confer required for demurrer. (Demurrer, Lopez Decl., ¶¶ 2-4, Ex. A; see Code Civ. Proc., § 430.41, subd. (a)(3)(A).)

c. Discussion

i. First Cause of Action, Negligent Repair against L.A. Jeep: SUSTAINED, with leave to amend.

The Court finds in favor of Defendants as to the Complaint's first cause of action of negligent repair based on the economic loss rule barring relief.

Under the economic loss rule, a plaintiff may not recover in tort for negligently inflicted purely economic losses, unless the defendant's injury-causing conduct violated a duty independent of the

contract and the defendant's conduct caused physical damage or personal injury. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 20, 26, 44 (*Rattagan*); see *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988 (*Robinson Helicopter*).) In other words, there is no tort duty to guard against purely economic losses. (*Southern California Gas Leak Cases* (2019) 7 Cal.5th 391, 398.)

Economic loss consists of damages for inadequate value, costs of repair and replacement of the defective product or consequent loss of profits—without any claim of personal injury or damages to other property. (*Robinson Helicopter*, supra, at p. 988; see *Jimenez v. Superior Court* (2002) 29 Cal.4th 473, 483; *Northern American Chemical Co. v. Superior Court* (1997) 59 Cal.App.4th 764, 777, fn. 8.)

Here, the FAC's first cause of action does not allege any injury to any person arising from the negligence-based cause of action, instead alleging negligent repair based on L.A. Jeep's service work on the subject vehicle in this litigation. (Complaint, ¶¶ 44-48.)

In opposition to demurrer, Plaintiff argues that the economic loss rule does not apply here because it is not clear on the face of the pleadings that only economic losses are at issue—noting that L.A. Jeep “may have” (emphasis added) caused damage to other portions of the Subject Vehicle—and arguing that negligent repair may proceed where damage to one vehicle component caused damage to other components, comparing to one California case—*Jimenez v. Superior Court* (2002) 29 Cal.4th 473 (“*Jimenez*”)—and otherwise citing federal law. (Opposition to Demurrer, pp. 10-11.) Neither argument is persuasive based on the documents before the Court and in the record.

The face of the pleadings cuts against Plaintiff. The paragraphs preceding and incorporated into the first cause of action fail to specifically allege facts against L.A. Jeep, and the first cause of action itself merely alleges that L.A. Jeep “breached its duty to Plaintiffs to use ordinary care and skill by failing to properly store, prepare and repair the Subject Vehicle in

accordance with industry standards,” explicitly noting only a single (“at least one”) repair visit to L.A. Jeep. (FAC, ¶¶ 1-43, 44-48.)

As for Plaintiff’s argument regarding damage to other components, no clear damage-to-other-components allegations appear on the face of the FAC, nor does the Opposition point to any specific

paragraph of the FAC making such an allegation, for which reason the Court disregards Plaintiff’s argument as to the ‘components exception’ under Jimenez. (See Opposition p. 11; cf. Motion, pp. 6-7.)

Defendants’ demurrer is accordingly SUSTAINED as relates to the first cause of action.

The demurrer is sustained with leave to amend based on the parties’ papers showing a dispute as to whether the pleadings can be amended to properly state an exception to the economic loss rule. (Brenner v. City of El Cajon (2003) 113 Cal.App.4th 434, 444 [burden on pleading party to show how complaint can be amended and legal effect on pleadings].)

ii. Second Cause of Action, Concealment against FCA: SUSTAINED, with leave to amend.

Plaintiff’s second cause of action similarly fails on demurrer based on the economic loss rule.

In Dhital v. Nissan N. Am., Inc., the Court of Appeal initially addressed the economic loss rule in the specific context of fraudulent inducement by concealment. (Dhital v. Nissan N. Am., Inc. (2022) 84 Cal.App.5th 828, 840.) The court held concealment-based claims for fraudulent inducement are not barred by the economic loss rule “because a defendant’s conduct in fraudulently inducing someone to enter a contract is separate from the defendant’s later breach of the contract or warranty provisions that were agreed to.” (Id. at 841.)

But more recently, the California Supreme Court offered further guidance on the economic loss rule. In Rattagan v. Uber Techs., Inc., the issue was whether a Plaintiff could “assert an independent claim of fraudulent concealment in the performance of a contract?” (Rattagan, supra, 17 Cal.5th at p. 38.) The Court held that a plaintiff may only assert a separate claim of fraudulent concealment based on conduct occurring in the course of a contractual relationship “if the elements of the cause of action can be established independently of the parties’ contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the contract.” (Id. at p. 45, emphasis added.)

Of particular importance to this Court, the California Supreme Court initially agreed to hear Dhital on appeal but stayed the case pending considering of a “related issue” in Rattagan v. Uber Technologies, Inc. Then, on December 18, 2024, approximately three months after issuing its decision in Rattagan, the Court dismissed the appeal in Dhital without hearing the case. This might reasonably suggest that the Court viewed Rattagan as having resolved the issue raised by Dhital.

Moving back to the allegations here, the FAC’s second cause of action alleges fraudulent concealment of a defective engine in the subject vehicle. (See FAC, ¶¶ 48-56 [engine at ¶ 50].) Such allegations on their face fall squarely into Rattagan, foreclosing relief as a matter of law because, on the face of the pleadings, to the extent any tort occurred here, it occurred during the “course of the contract” for the subject vehicle. (See, e.g., FAC, ¶¶ 7-25.)

Plaintiff’s opposition argues that the manufacturer’s alleged failure to disclose the defects falls under Dhital and that Rattagan actually supports Plaintiff’s position. The Court is not persuaded by Plaintiff’s arguments. The alleged “failure to disclose” defects occurred exactly at the time of the sale. Under Plaintiffs’ theory, Defendant had an affirmative duty to inform Plaintiffs at the time of the sale (or immediately prior thereto). However, as discussed above, any tort here occurred during the course of contract, and thus, the Supreme Court’s opinion in Rattagan controls for purposes of this analysis, the economic loss rule applies to the second cause of action, and the concealment claim thus fails.

Defendants' demurrer is accordingly SUSTAINED as relates to the first cause of action.

The demurrer is sustained with leave to amend based on the parties' papers showing a dispute as to whether the pleadings can be amended to properly state an exception to the economic loss rule. (Brenner v. City of El Cajon (2003) 113 Cal.App.4th 434, 444 [burden on pleading party to show how complaint can be amended and legal effect on pleadings].)

d. Conclusion

Defendants' demurrer is SUSTAINED with leave to amend as to both the first and second causes of action alleged in the First Amended Complaint.

3. Motion to Strike

The court may, upon a motion or at any time in its discretion and upon terms it deems proper: (a) strike out any irrelevant, false, or improper matter inserted in any pleading; or (b) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc. § 436, subds. (a), (b); Stafford v. Shultz (1954) 42 Cal.2d 767, 782 ["Matter in a pleading which is not essential to the claim is surplusage; probative facts are surplusage and may be stricken out or disregarded"].)

Here, as the Court has sustained Defendants' demurrer to the first and second causes of action, which are the only causes of action alleged in this lawsuit, Plaintiff's prayer for punitive damages is unsupported surplusage, for which reason Defendants' motion to strike is GRANTED.

Defendants FCA US LLC and Los Angeles Chrysler Dodge Jeep Ram are ordered to give notice.

Parties who intend to submit on this tentative must send an email to the court at indicating intention to submit on the tentative as directed by the instructions provided on the court website at www.lacourt.org. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative. If the parties do not submit on the tentative, they should arrange to appear remotely.

DATED: July 21, 2026 _____

MARK C. KIM

Judge of the Superior Court